



Elon Musk
Founder

2023
Founded

~\$500M
ARR

~\$42B
Capital raised

555,000
GPUs at Colossus

~\$250B
Merger valuation

01 Who You're Meeting

Elon Musk — Founder, xAI.

The company: Raised \$20B in January 2026 at a \$230B valuation, then merged into SpaceX a month later at roughly \$250B. Colossus grew from 100,000 GPUs at its October 2024 launch to 555,000, with the two Memphis clusters together housing over a million GPUs and drawing 2 gigawatts.

What they sell: The Grok model family, sold through SuperGrok consumer subscriptions via the X app, API access and enterprise deals, with Grok Voice available in Tesla vehicles. Compute runs on the Colossus I and II clusters in Memphis.

02 Where The Company Sits

xAI is the clearest example in this app of infrastructure scale running far ahead of commercial traction: roughly \$500M of ARR against approximately \$42B raised and a reported \$1B monthly burn, with a GPU estate that makes it one of NVIDIA's largest single data-centre customers. For an infrastructure investor the interesting artefact is Colossus itself — the first gigawatt-scale AI training cluster, reportedly built in 122 days

03 What To Pressure-Test

- Roughly \$500M of ARR against approximately \$42B raised and a reported \$1B monthly burn — the widest gap between capital and revenue of any vendor tracked here
- All eleven original co-founders departed by March 2026, leaving Musk as the sole remaining founding figure
- Serious regulatory and legal exposure: a California Attorney General investigation and cease-and-desist over alleged Grok-generated non-consensual explicit imagery and potential child...
- The EPA ruled that xAI illegally operated natural-gas generators for its Colossus data centres in Tennessee, adding environmental compliance liability

04 GIP Context

GIP: No publicly disclosed GIP relationship. Relevance to the portfolio is as a compute and power demand driver rather than as a vendor — Colossus draws 2 gigawatts, and its power sourcing has already produced a regulatory finding.

BlackRock: One third-party tracker lists BlackRock among xAI's investor roster alongside Andreessen Horowitz, Sequoia, Fidelity, NVIDIA and sovereign funds. This was not confirmed in primary sources in this pass and should be treated as unverified.